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Uruguay: Assessment of the EU-MERCOSUR Trade Agreement





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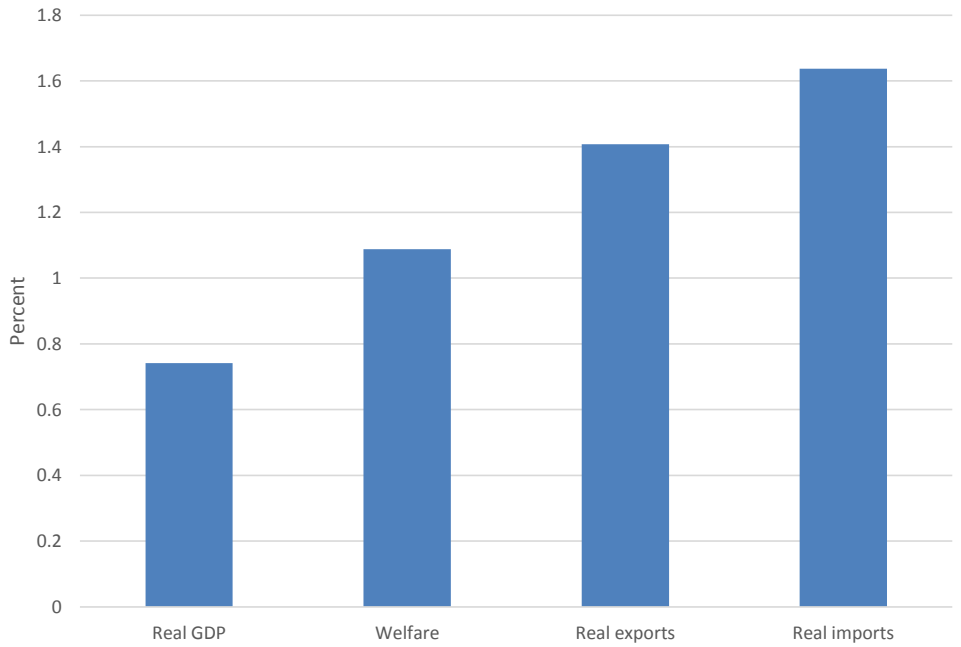
Main findings

- The analysis provides a quantitative assessment of the main provisions of the EU-MERCOSUR Free Trade Agreement (FTA) on GDP, output, wages, and trade using a Computable General Equilibrium (CGE) model.
- It also provides additional qualitative assessment on necessary regulatory reforms based on the implementation of the agreement.
- Positive results were found for Uruguay in aggregate terms.
- Nevertheless, the effects are heterogenous across sectors.
- The Agreement will be more beneficial for the agricultural food sector but will imply a relative contraction on manufactures.
- The Agreement will strengthen integration both with the EU and with the rest of MERCOSUR, while exports to other trading partners are likely to decrease.
- Many of the benefits will emerge from not only the market access provisions, but also from regulatory and institutional upgrades.

Quantitative Results: economy-wide effects

- The results show an increase of 0.74 percent of GDP by 2040 relative to a baseline projection without the agreement.
- Welfare would increase with real income 1.1 percent higher than the baseline, reflecting higher purchasing power of consumers.
- Total exports and imports would increase 1.4 and 1.6 percent, respectively, in real terms.

Economy-wide effects of EU-Mercosur FTA in Uruguay (2040)

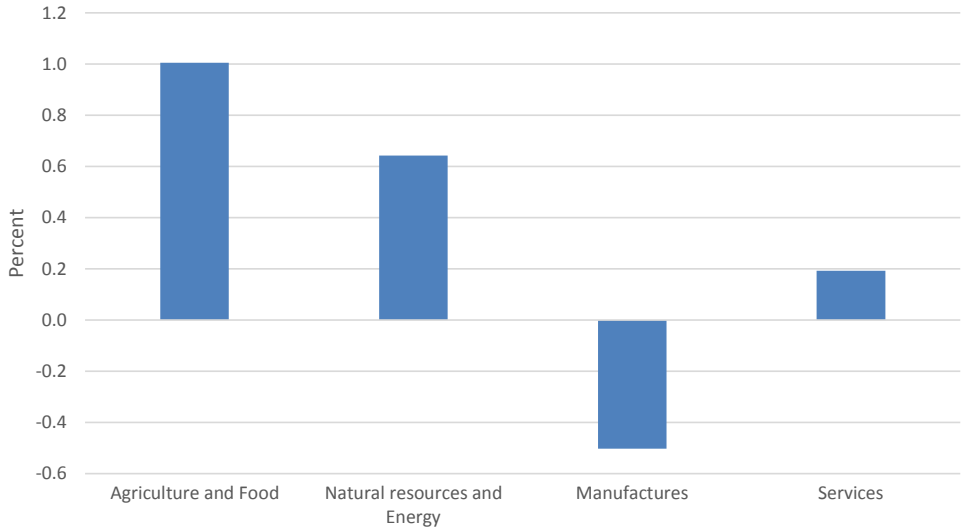


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Quantitative Results: broad sectors

- The economy would expand as a whole, but the effects would vary by sectors.
- Agriculture and Food would experience the largest expansion (1 percent) when compared to the baseline projection (+US$332MM).
- Natural recourses and Energy would register the second largest expansion, at 0.6 percent (+US$34MM).
- Services would expand by 0.2 percent (+US$249MM).
- Non-food manufacturing would decline by 0.5 percent (-US$121MM).

Output effects of EU-Mercosur FTA in Uruguay by broad sectors (2040)

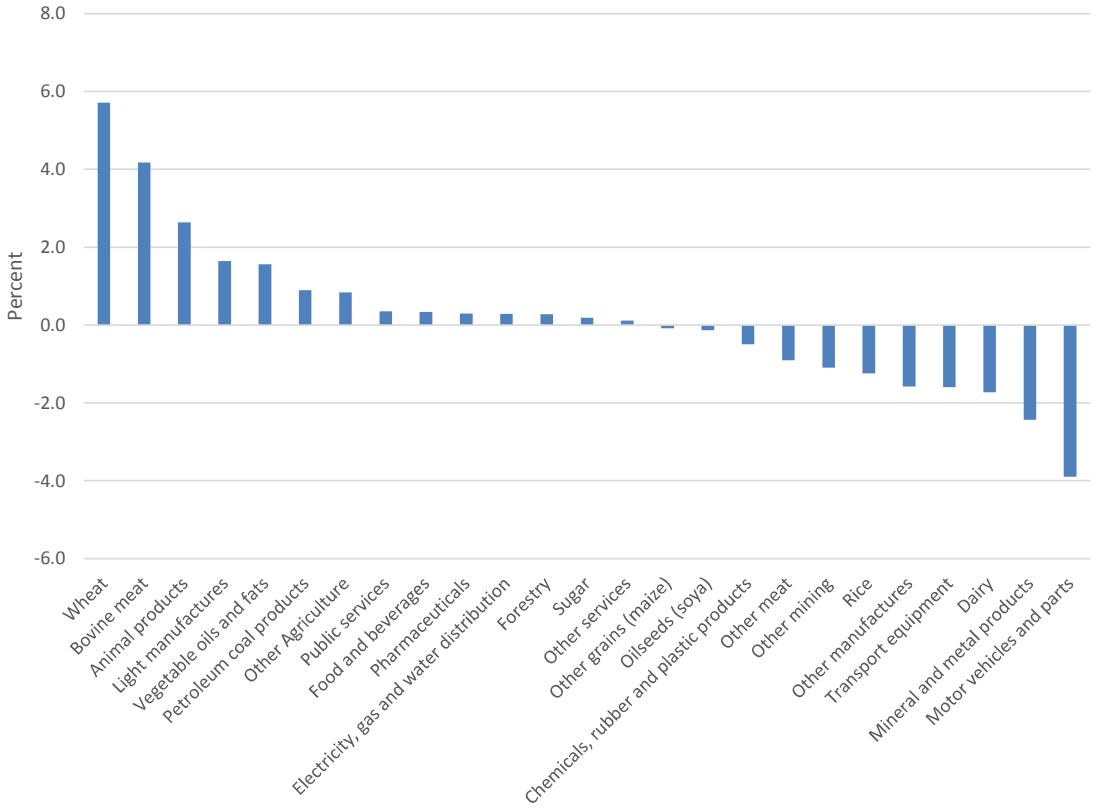


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Quantitative Results: sectoral effects

- Under the agreement, the output of wheat (+US$64MM), bovine meat (+US$221MM) and animal products (+US$111MM) would experience the greatest increase.
- On the other hand, motor vehicles and parts (-US$52MM), mineral and metal products (-US$96MM) and dairy products (-US$736MM) would register the largest decreases.
- In absolute terms, the largest increases would be on bovine meat, public services (+US$140MM) and light manufacturing (+US$125MM), whereas the largest decreases would be on mineral and metal products, dairy and other manufacturing (-US$73MM).

Output effects of the EU-Mercosur FTA in Uruguay by sectors (2040)

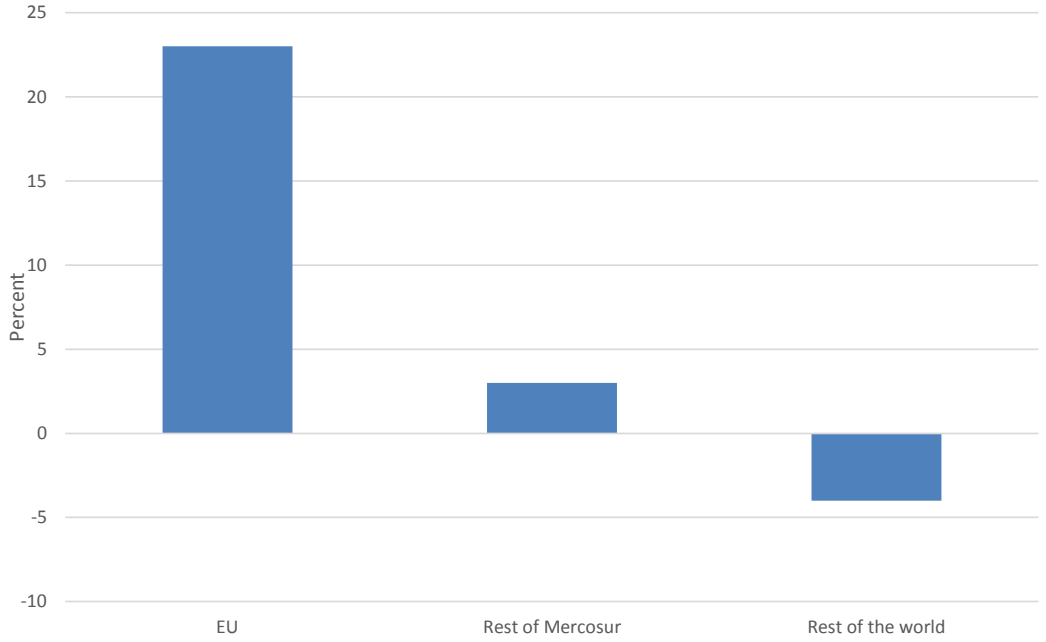


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Quantitative Results: bilateral trade

- By 2040, Uruguay's exports to the EU and to the rest of MERCOSUR would grow by about 23 percent and 3 percent, respectively.
- In absolute terms, exports to the EU would grow by US$1,084MM, and exports to the rest of MERCOSUR would grow by US$943.
- Exports to the rest of the world would decrease by 4 percent (-US$1,044MM), but the overall effect would still be positive.

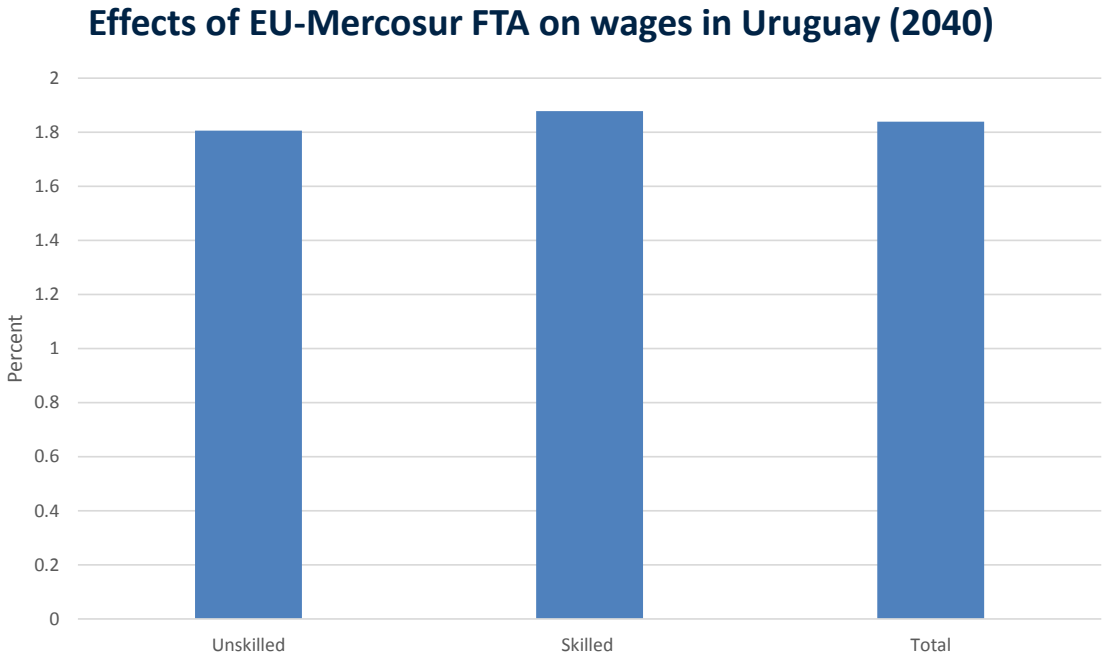
Effects of the EU-Mercosur FTA in Uruguay exports by region (2040)



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Quantitative Results: impact on wages

- The positive trade and output effects of the Agreement would benefit the wages of both skilled and unskilled labor in Uruguay.
- Total wages would increase by about 1.83 percent.
- The increase is slightly higher for skilled workers (1.87 percent) vs. unskilled workers (1.8 percent).



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Regulatory and Institutional Reforms: institutional upgrades

The first "Deep Agreement" between MERCOSUR and the EU will require Uruguay to implement important regulatory upgrades.

- **Transparency, Anti-corruption, Voice & Accountability**
  - Revise the legal framework to ensure that the principles on the treatment of foreign bidders are met when conducting covered public tendering.
  - Implement an international agreement on government procurement.
  - Create notification or consultation mechanisms whereby the exporting Party is notified or participates in the process of issuing a new law or regulation.
  - Appoint officials and develop mechanisms to answer enquiries from stakeholders concerning trade issues.
- **Enhancing trade facilitation**
  - Adopt a self-certification approach for rules of origin.
  - Implement consultation mechanisms and improve the country's current system of advance rulings.
- **Regulatory quality and enforcement**
  - Introduce or enhance elements of good regulatory practices.
  - Refine its tools to protect intellectual property.
- **Sustainable Development:** Address gaps concerning freedom of association and the right to collective bargaining.

Regulatory and Institutional Reforms: Non-tariff Measures

There are not many laws currently in force in Uruguay that would contradict the disciplines set out in the Trade Agreement. Still, there is room for regulatory and institutional improvement in some areas.

- **Trade in goods**
  - Uruguay will have to abolish its consular fees (Article 265 of Law 19,535).
- **Technical barriers to trade**
  - Update the legal framework to establish general procedures for drafting, issuing and implementing technical regulations.
  - Create the institutional infrastructure necessary to implement commitments on notification and other enhanced transparency mechanisms.
- **Sanitary and Phytosanitary Measures (SPS)**
  - Consider the adoption of a general legal framework to govern how SPS measures are issued.
  - Streamline its SPS inspection procedures and bromatological inscriptions and reform its bromatological controls framework.
  - Create the institutional infrastructure necessary to implement commitments on notification and other enhanced transparency mechanisms.

Annex: Main Features of the Computable General Equilibrium Model

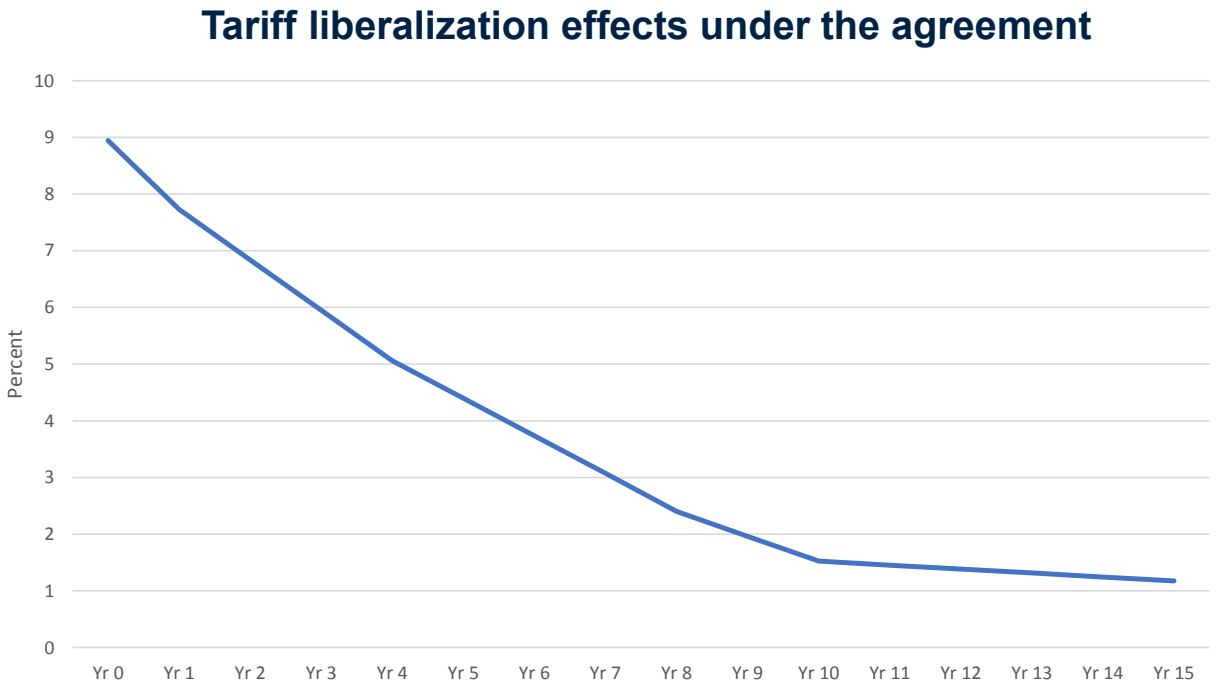
- The economic effects in Paraguay of implementing the EU-MERCOSUR FTA are modeled using CGE simulations.
- Production in the model is implemented as a series of nested CES functions.
- The model incorporates five types of production factors: labor; capital; land; a sector specific natural resource; and water.
- Domestic production is allocated to the domestic market or exported.
- There are three domestic final demand agents: households, a government sector and an aggregate investment sector.
  - Income comes from payments to factors of production and is allocated to households (after taxes).
  - The government sector accrues all net tax payments and purchases goods and services.
  - Investment income is equated to the sum of domestic and foreign savings.
- The model incorporates a constant difference of elasticities (CDE) utility function.
- The capital market assumes vintage capital, and new capital is allocated across sectors to equalize rates of returns. Installed capital is imperfectly mobile across sectors.

Annex: Main Features of the Computable General Equilibrium Model

- Capital is only partially mobile across sectors.
- Trade is modeled using the so-called Armington specification that assumes that demand for goods is differentiated by region of origin.
- A second Armington nest allocates aggregate import demand across all exporting regions using a representative agent specification.
- Exports are modeled in an analogous fashion using a nested constant-elasticity of-transformation (CET) specification.
- The domestic supply of each commodity is supplied to the domestic market and to an aggregate export bundle using a top-level CET function.
- Dynamics in “Envisage” involve labor supply (by skill level), aggregate capital and technological change.

Annex: Tariff liberalization in Uruguay under the FTA

- Under the agreement, tariffs could fall from 9 percent to about 1.2 percent in 15 years.



Simple average tariff by year of the agreement

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